

Cholamandalam Investment & Finance Company Ltd (CHOLAFIN)

ROE	20.2%
ROCE	10.4%
CFO Quality	Accrual Risk
Capital Allocation	Growth Funded by Debt

Strengths

- Revenue growing at above 15% CAGR over 5 years reflects strong business momentum.
- Operating profit margin above 25% indicates strong pricing power and cost discipline.
- Net profit compounding at above 20% over 5 years creates significant shareholder value.
- Very high interest coverage ratio reflects negligible financial stress from debt servicing.
- Earnings per share growing above 15% CAGR indicates strong earnings quality and compounding.

Risks

- Debt-to-equity ratio of 6.86 is elevated and warrants monitoring.
- Free cash flow negative for 3 consecutive years raises concern about cash generation quality.
- Rising debt-to-equity ratio over 3 years suggests increasing financial leverage risk.